

REFERENCE TITLE: artificial intelligence business; attorney general

State of Arizona
House of Representatives
Fifty-seventh Legislature
Second Regular Session
2026

HB 4098

Introduced by
Representative Travers

AN ACT

AMENDING TITLE 44, CHAPTER 9, ARIZONA REVISED STATUTES, BY ADDING ARTICLE 27; RELATING TO COMMERCE.

(TEXT OF BILL BEGINS ON NEXT PAGE)

1 Be it enacted by the Legislature of the State of Arizona:

2 Section 1. Title 44, chapter 9, Arizona Revised Statutes, is
3 amended by adding article 27, to read:

4 ARTICLE 27. ARTIFICIAL INTELLIGENCE BUSINESS

5 44-1383. Artificial intelligence business; risk assessment;
6 report; posting; quarterly audit; violation; civil
7 penalty; definitions

8 A. AN ARTIFICIAL INTELLIGENCE BUSINESS SHALL CONDUCT A
9 COMPREHENSIVE RISK ASSESSMENT FOR EACH OF THE BUSINESS'S HIGH RISK AI
10 SYSTEMS BEFORE USING OR SELLING A HIGH RISK AI SYSTEM.

11 B. AN ARTIFICIAL INTELLIGENCE BUSINESS SHALL EVALUATE A HIGH RISK
12 AI SYSTEM FOR ALL OF THE FOLLOWING:

- 13 1. THE POTENTIAL FOR DISCRIMINATION OR BIAS.
- 14 2. ANY SAFETY RISKS TO CHILDREN AND VULNERABLE POPULATIONS.
- 15 3. ANY PRIVACY AND DATA PROTECTION RISKS.
- 16 4. ASSESSING CATASTROPHIC RISKS.

17 C. AN ARTIFICIAL INTELLIGENCE BUSINESS SHALL SUBMIT A TRANSPARENCY
18 REPORT TO THE ATTORNEY GENERAL BEFORE USING OR SELLING A HIGH RISK AI
19 SYSTEM. THE TRANSPARENCY REPORT MUST INCLUDE ALL OF THE FOLLOWING:

- 20 1. THE PURPOSES AND OPERATION OF THE ARTIFICIAL INTELLIGENCE
21 SYSTEM.
- 22 2. THE RESULTS FROM ANY INTERNAL RISK ASSESSMENT EVALUATIONS.
- 23 3. THE MEASURES THAT WERE IMPLEMENTED TO MITIGATE BIAS AND HARMFUL
24 OUTCOMES.

25 D. THE TRANSPARENCY REPORTS SHALL BE PUBLICLY POSTED ON THE
26 ARTIFICIAL INTELLIGENCE BUSINESS'S WEBSITE.

27 E. AN ARTIFICIAL INTELLIGENCE BUSINESS SHALL IMPLEMENT BIAS
28 MITIGATION MEASURES THAT INCLUDE ANY TECHNICAL OR PROCEDURAL METHODS THAT
29 WERE IMPLEMENTED TO REDUCE DISCRIMINATORY OUTCOMES.

30 F. AN ARTIFICIAL INTELLIGENCE BUSINESS SHALL CONDUCT A QUARTERLY
31 AUDIT TO IDENTIFY AND CORRECT ANY INSTANCES OF DISCRIMINATION, HARMFUL
32 OUTPUTS OR UNSAFE BEHAVIOR.

33 G. IF A HIGH RISK AI SYSTEM MAY BE ACCESSED BY A CHILD, THE
34 ARTIFICIAL INTELLIGENCE BUSINESS SHALL INCLUDE PARENTAL MONITORING TOOLS,
35 CONTENT FILTERING AND MECHANISMS TO REPORT HARMFUL CONTENT.

36 H. THE ATTORNEY GENERAL SHALL ISSUE A CERTIFICATION BEFORE AN
37 ARTIFICIAL INTELLIGENCE BUSINESS ENTERS THE STREAM OF COMMERCE.

38 I. THE ATTORNEY GENERAL SHALL ENFORCE THIS SECTION AND REVIEW THE
39 TRANSPARENCY REPORTS FOR COMPLIANCE WITH THIS SECTION. THE ATTORNEY
40 GENERAL MAY IMPOSE A CIVIL PENALTY OF NOT MORE THAN \$50,000 PER VIOLATION
41 FOR A VIOLATION OF THIS SECTION. EACH DAY A VIOLATION OCCURS CONSTITUTES
42 A SEPARATE VIOLATION.

43 J. AN ARTIFICIAL INTELLIGENCE BUSINESS THAT IMPLEMENTS RECOGNIZED
44 STANDARDS FOR AND COMPLIES WITH THE CHILDREN'S ONLINE PRIVACY PROTECTION

1 ACT OF 1998 (P.L. 105-277) ADVISORY SERVICES MAY RECEIVE A REDUCED CIVIL
2 PENALTY FOR INADVERTENT VIOLATIONS.

3 K. FOR THE PURPOSES OF THIS SECTION:

4 1. "ARTIFICIAL INTELLIGENCE BUSINESS" MEANS AN ENTITY THAT CREATES,
5 USES, SELLS OR PROVIDES ACCESS TO ARTIFICIAL INTELLIGENCE SYSTEMS THAT
6 INTERACT WITH THE PUBLIC AND THAT USES A FRONTIER MODEL OF ARTIFICIAL
7 INTELLIGENCE THAT IS OWNED OR OPERATED BY A LARGE DEVELOPER.

8 2. "FRONTIER MODEL" MEANS AN ARTIFICIAL INTELLIGENCE MODEL THAT IS
9 TRAINED BY EITHER OF THE FOLLOWING:

10 (a) USING GREATER THAN 10.26 COMPUTATIONAL OPERATIONS TO COMPUTE
11 COSTS OF MORE THAN \$100,000,000.

12 (b) APPLYING KNOWLEDGE DISTILLATION TO A FRONTIER MODEL.

13 3. "HIGH RISK AI SYSTEM" MEANS AN ARTIFICIAL INTELLIGENCE SYSTEM
14 THAT:

15 (a) MAY IMPACT CHILDREN, HEALTH CARE, EMPLOYMENT, PUBLIC SAFETY OR
16 EDUCATION.

17 (b) IS LIKELY TO CAUSE DISCRIMINATION, BIAS OR SIGNIFICANT PRIVACY
18 VIOLATIONS.

19 4. "LARGE DEVELOPER":

20 (a) MEANS A PERSON OR ENTITY THAT HAS TRAINED ONE OR MORE FRONTIER
21 MODELS AND HAS SPENT MORE THAN \$5,000,000 IN DEVELOPING THE FRONTIER MODEL
22 AND MORE THAN \$100,000,000 IN TRAINING THE FRONTIER MODEL.

23 (b) DOES NOT INCLUDE AN ACCREDITED COLLEGE OR A UNIVERSITY THAT
24 ENGAGES IN ACADEMIC RESEARCH INVOLVING FRONTIER MODELS.

25 (c) CREATES A FORESEEABLE AND MATERIAL RISK THAT A LARGE
26 DEVELOPER'S DEVELOPMENT, STORAGE OR DEPLOYMENT OF A FOUNDATION MODEL WILL
27 RESULT IN THE DEATH OF OR SERIOUS INJURY TO MORE THAN ONE HUNDRED PEOPLE
28 BY AN INCIDENT OF EITHER OF THE FOLLOWING:

29 (i) CREATING AND RELEASING A CHEMICAL, BIOLOGICAL, RADIOLOGICAL OR
30 NUCLEAR WEAPON.

31 (ii) THROUGH THE USE OF A FOUNDATION MODEL, ENGAGING IN CONDUCT
32 THAT IS PERFORMED WITH LIMITED HUMAN INTERVENTION AND, IF THE CONDUCT WAS
33 COMMITTED BY AN INDIVIDUAL, WOULD CONSTITUTE A CRIME THAT REQUIRES INTENT,
34 RECKLESSNESS OR GROSS NEGLIGENCE OR THE SOLICITATION OR AIDING AND
35 ABETTING OF A CRIME.